CHAPTER 9

Bonds

Chapter Summary

The level factor, which shifts the yields of all bonds, is the crucial factor in fixed income investments. The level factor is affected by risks associated with economic growth, inflation, and monetary policy. Corporate bonds do not just reflect credit risk; as predicted by theory, volatility risk is an important factor and corporate bond returns correlate highly with equity returns. Illiquidity risk is also an important factor in bond returns.

1. U.S. Downgrade

On Friday August 5, 2011, Standard & Poor's downgraded the credit rating of the United States from AAA to AA+, keeping its rating outlook at "negative."[1] The ratings agency was concerned about political risk, especially the ability of U.S. lawmakers to cut spending or raise revenue to even stabilize, let alone reduce, the nation's growing debt. "The downgrade," Standard & Poor's said, "reflects our view that the effectiveness, stability, and predictability of American policymaking and political institutions have weakened at a time of ongoing fiscal and economic challenges." Standard & Poor's AAA rating for the United States dated back to 1941 and was unshaken even by World War II. The agency had never before downgraded the country.

Global stock markets declined on Monday, August 8, when trading resumed after the announcement. But U.S. Treasury bonds rose in price. Figure 9.1 shows that the yield on ten-year Treasuries closed on Monday at 2.40% after closing the previous Friday at 2.58%. By the close of trading on Friday August 12, the yield was even lower, at 2.24%.

Why did U.S. bond yields drop? If the United States was supposed to be riskier (at least according to Standard & Poor's), Treasury yields should have risen as

[1] See http://www.standardandpoors.com/ratings/articles/en/U.S./?assetID=1245316529563.